Do Donors Punish?
The Effect of Democratic Backsliding on Foreign Aid Receipts

Joeseph Hoskisson and Sania Bala

I. INTRODUCTION

When donor countries give foreign aid, do they take into account progress toward democratization in recipient countries? The liberalism worldview requires certain reforms for countries to receive aid. We ask, when countries experience democratic backsliding, do donors punish those countries by reducing the amount of foreign aid they donate to those countries? Do donor countries reward democratization by increasing aid? There have been mixed findings on this question over different time periods and from different countries. We cover a time period larger than we have found elsewhere in the literature to assess these questions.

We study donors from the Organization for Economic Co-operation's (OECD) Development Assistant Committee (DAC) between the years 1960 and 2024 to assess how donors respond to changes in levels of democracy as measured by V-Dem. Through a number of models we find no significant correlation between three different measures of democracy from V-Dem. Even when controlling for various related variables and changing the window of democratization from one year to five years, we find that, on average, donors neither punish nor reward countries for improvement or backsliding in democratic governance.

II. LITERATURE REVIEW

Foreign aid donors may follow various criteria when allocating and disbursing aid to recipients. Scholars have studied the determinants of foreign aid for decades with a variety of findings. Here, we discuss broadly what factors go into aid allocation and disbursement. Following that section, we briefly review what specific characteristics of democracy may factor into donors' decisions.

A. Foreign Aid Donation

Donors give foreign aid based on strategic reasons, political reasons, recipient need, and policy performance. Donors largely give aid to former colonies and to political allies (Alesina and Dollar 2000). A smaller factor in aid allocation is democracy. Alesina and Dollar (2000) found that more democratic countries received 39 percent more foreign aid than recipients which were not democratic. However, the pull of democracy on foreign aid can vary by donor as found by Berthélemy and Tichit (2004). On democracy and corruption, Drehe, Lang, and Reinsberg (2024) note that Development Assistance Committee donors favor democratic countries while the World Bank prefers less corruption in countries which receive its aid.

Dunning (2004) argues that strategic concerns of the Cold War minimized aid conditionality on democratic reforms. Conditioning occurred only after the end of the Cold War. Crawford (1997) argues that conditioning aid on democratic reforms has been ineffective (even during the post-Cold War years) and that donors apply inconsistent standards, failing to treat recipient nations fairly. According to Wright (2009), whether foreign aid results in democratization from the recipient perspective depends on how large a coalition that regime enjoys. Authoritarian regimes who received aid democratize if they have large coalitions of support. If they have small coalitions of support, the aid helps them retain power without democratizing. Reinsberg (2015) noted that not many studies have been conducted on how political liberalization, or a change toward more democratic policy, affects aid flows. Reinsburg found that donors, excluding the World Bank, reward recipients' change toward more democracy (2015). In this study, we also focus on democratization.

B. Democracy Characteristics That Influence Donors

When accounting for the effect of democracy in the amount of foreign aid received, Alesina and Dollar (2000) used the Freedom House Index which compiles several measures that indicate traits of a democracy. Countries with large values of this index received more aid for the years between 1970 and 1994. Open trade policy also correlated positively with more foreign aid. Alesina and Dollar found that periods of democratization, or a positive change in democracy levels over three years, increased aid receipts. Democratization is tied to higher amounts of aid.

Berthélemy and Tichit (2004) found that civil liberty combined with political freedom into one variable was associated with more foreign aid commitment to a given country. The effect of this measure was stronger during the Cold War than after it. Alesina and Weder (2002) assessed another trait of governance that donors may take into account: corruption. They found "no evidence that bilateral or multilateral aid goes disproportionally to less corrupt governments." Again, there is some variation in the behavior of donor countries – some prefer low corruption when giving aid.

In their review article, Drehe, Lang, and Reinsberg (2024) note that findings are mixed with regard to human rights. Some studies show that some countries consider respect for human rights as an eligibility threshold for receiving aid, but once a country is eligible, the continued reception of aid does not respond to changing performance on human rights.

III. THEORY

Three mechanisms link democratic backsliding to aid reduction. First, reputation and norms – donors face domestic audiences – hold governments accountable for consistency between stated values and foreign policy practices. When a recipient government visibly erodes democratic institutions, donor governments face reputational costs if they do not react according to their principles by reducing or cutting aid as a punishment. Second, donors strategically use foreign aid allocation as leverage; they condition aid on political behavior in order to shape incentives for recipient governments. Under this logic, aid reduction following backsliding is a natural consequence intended to raise the costs of backsliding and increase the incentives of democratization. Third, major donors have formalized democracy criteria for aid allocation. Requirements and clauses determined by USAID, the EU, and others all represent institutional triggers that link recipient democratic performance to aid disbursement decisions.

These mechanisms have a shared implication: countries that experience democratic backsliding should receive less foreign aid. ODA disbursements and commitments capture different stages of the process and therefore the mechanisms might operate differently. Disbursements represent aid that has already been transferred and that reflect decisions made in prior budget cycles. Commitments, on the other hand, represent forward-looking pledges made at the moment of allocation and may be more directly responsive to political conditions such as observed democratic backsliding. If donors do adjust to backsliding, the signal may be stronger in commitments than disbursements, though the direction remains the same. This motivates two hypotheses:

H1: *Countries experiencing democratic backsliding will receive lower levels of ODA* ***disbursements*** *than countries that maintain or improve their democratic performance.*

H2: *Countries experiencing democratic backsliding will receive lower levels of ODA* ***commitments*** *than countries that maintain or improve their democratic performance.*

IV. METHODS

This study draws from three data sources, merged at the country-year level. The Varieties of Democracy (V-Dem) project gives us our measures of democratic governance which we use for both our main models and robustness checks (Coppedge et al., 2026). V-Dem provides cross-national measures of political institutions going as far back as the late 18th century and is one of the most comprehensive democratic assessment measures available. We source foreign aid data from two datasets maintained by the OECD Development Assistance Committee (DAC). These are the DAC2A and DAC3A databases, providing us with records of total developmental assistance disbursements and total developmental assistance commitments, respectively. Total developmental assistance disbursements refers to the total amount of aid that has been transferred to recipient governments, while total developmental assistance commitments refers to the total amount of aid that has formally been pledged to recipient governments, though not necessarily disbursed. Using both disbursements and commitments allows us to assess whether our findings are sensitive to the temporal aspect of foreign aid flows; this is an important methodological consideration given that disbursements reflect decisions of donors made often years in the past, while commitments reflect the intention of donors looking forward. Lastly, we draw from the World Bank World Development Indicators (WDI) for a couple control variables, GDP per capita and population, both of which we log before including in our models.

Our unit of analysis is the country-year. Our full sample spans 1960 to 2024, corresponding to temporal constraints from the OECD DAC data, which only goes back to the 1960s. Following listwise deletions of observations with missing values, our analysis on disbursements is comprised of 6,466 country-years, while our analysis on commitments is made up of 6,039 country-years.

Our primary outcome variable is total ODA – Official Development Assistance – received, measured in millions of US dollars and rounded to the nearest integer. Importantly, our foreign aid data is reported in constant prices, meaning they are not reported in current USD amounts. This allows us to make meaningful comparisons across years. We include only non-negative values in our analysis; negative values as a result of loan repayments are recoded as zero, and represent only a small fraction of the total number of observations in our study.

The main independent variable is the year-over-year difference in V-Dem's electoral democracy index. V-Dem has a number of electoral democracy indices, though we stick with the index that is the dominant democracy measure in the aid conditionality literature. The electoral democracy index sits on a 0 to 1 scale, rating aspects of democracy such as electoral integrity, universal suffrage, freedom of expressions and associations, and the effective authority of elected officials. Our year-over-year measure sits on a -1 to 1 scale, with negative numbers indicating democratic backsliding and positive numbers indicating democratic improvement. Zero means a country saw no change in their democracy index since the previous year. The first difference is computed prior to subsetting the data to the period of analysis in order to ensure that no observations were lost due to our temporal boundaries. We construct our predictor variable as follows:

$$\Delta\text{polyarchy}_{it} = \text{polyarchy}_{it} - \text{polyarchy}_{i,t-1} \tag{1}$$

where i indexes countries and t indexes years. A negative value indicates democratic backsliding and a positive value indicates democratization. Figure 1 shows the average trend across the period of analysis.

We control for a handful of variables. Much of these are drawn from the V-Dem dataset – indices of political corruption, rule of law, civil liberties – and we control for GDP per capita and population, drawing from the WDI dataset. While we include the other democracy measures that V-Dem offers as controls in our initial model, we run robustness checks that substitute the electoral democracy index for these other indices to test whether our results are sensitive to the democracy measure we selected.

ODA disbursements and commitments are both heavily right-skewed count variables, meaning that a small number of recipient countries receive disproportionately large amounts of foreign aid while most countries receive smaller amounts, pulling the distribution to the right; Figure 3 in the appendix illustrates this.

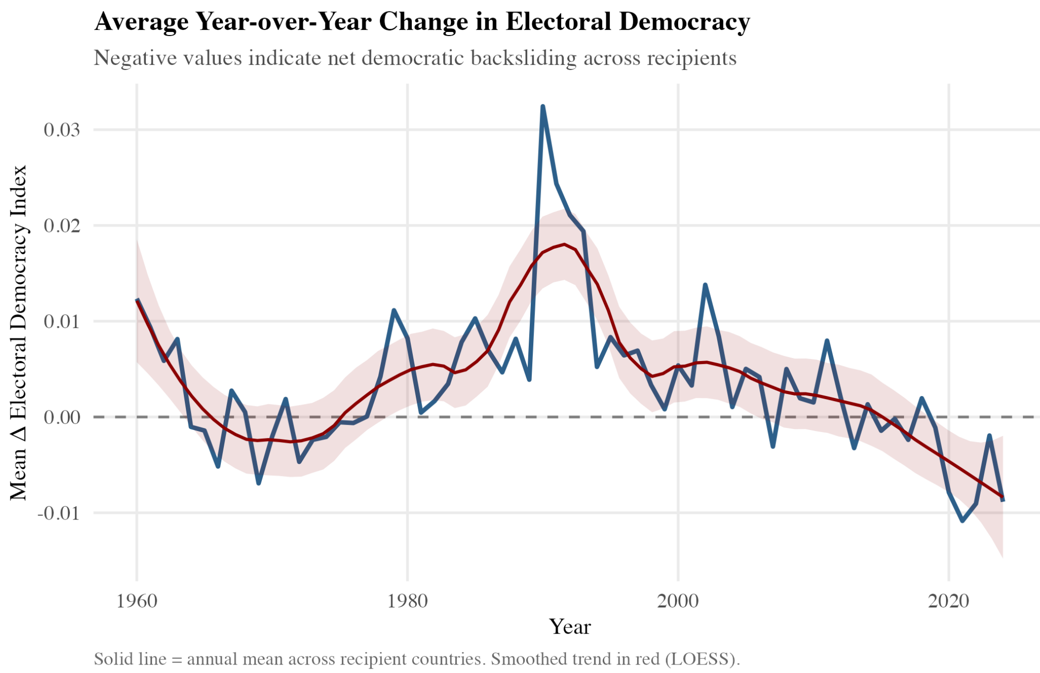

Figure 1. Average year-over-year change in the electoral democracy index across recipient countries, 1960–2024. Negative values indicate net democratic backsliding. Smoothed trend estimated via LOESS.

Under the Poisson assumption, μ and σ^2 should be equal, and thus equal λ or the rate. This is the equidispersion assumption. In practice, however, this assumption is often violated. ODA disbursements and commitments are one of those cases. The variance of ODA is several times greater than the mean, confirming severe overdispersion that renders Poisson regression inappropriate. Instead, we estimate a negative binomial regression. This model relaxes the equidispersion constraints by incorporating a dispersion parameter θ that absorbs excess variance.

Table I. Overdispersion Check: ODA Disbursements

Statistic	**Value**
Mean	638
Variance	1,717,136
Variance-to-mean ratio	2,692

Under the Poisson assumption, variance should equal the mean (ratio = 1).

A ratio of 2,692 confirms severe overdispersion, motivating negative binomial regression.

The log-linear specification is as follows:

$$\log\left(\mathbb{E}[\mathrm{ODA}_{it}]\right) = \beta_0 + \beta_1 \Delta\mathrm{democracy}_{it} + \beta_2 \mathrm{democracy}_{it} + \boldsymbol{\beta}'\mathbf{X}_{it} + \varepsilon_{it} \tag{2}$$

where i indexes countries, t indexes years, $\mathbf{X}_{it}$ is a vector of controls, and β_1 is the coefficient of primary interest. If democratic backsliding prompts donors to reduce foreign aid allocations, we would expect $\hat{\beta}_1 > 0$. In other words, democratic improvement predicts larger aid receipt, while democratic backsliding predicts lesser aid receipt. Figure 4 in the appendix estimates the expected amount of aid a country should receive given our model specifications.

While our primary analyses utilize ODA disbursements, we replicate all of our models using ODA commitments as an alternative outcome measure. As mentioned, we include robustness checks that substitute two additional V-Dem democracy indices in place of the electoral democracy measure. More specifically, we use the liberal democracy and participatory democracy indices. The liberal democracy index takes the electoral democracy index and incorporates judicial independence and horizontal accountability; the participatory democracy index goes further and adds emphasis to civil society engagement and direct participation in democracy. The year-over-year change is calculated in a similar manner to the electoral democracy measure.

V. RESULTS & DISCUSSION

Table 2 presents our findings from our primary model with ODA disbursements as the outcome. The model is estimated on 6,466 country-years spanning 1960 to 2024.

The central finding is that our Δ polyarchy variable is not statistically significant. While the sign of the estimate is directionally consistent with the democratic conditionality hypothesis – backsliding is associated with lower aid – the effect cannot be distinguished from zero at conventional thresholds. Thus, we cannot conclude that year-over-year democratic backsliding produces measurable reductions in foreign aid in the way we had hypothesized.

Our controls tell a more interesting story. Consistent with the established findings in the aid conditionality literature, countries with higher baseline levels of democracy receive significantly less foreign aid. The corruption, rule of law, and civil liberties coefficients are all positive and statistically significant, suggesting that donors reward institutional quality as well but ignore corruption. The negative coefficient on GDP per capita and the positive coefficient on population are likewise consistent with work: aid flows disproportionately go to poorer, more populated countries. The results are visualized in Figure 2 in the appendix.

Table II. Negative Binomial Regression: ODA Disbursements (1960–2024)

Predictor	**Estimate**	***p*-value**	**Interpretation**
Δ Electoral Democracy (`delta_polyarchy`)	−0.310	.264	Not significant
Democracy level (`v2x_polyarchy`)	−0.435	$< .001$	More democratic → less aid
Corruption (`v2x_corr`)	1.142	$< .001$	Higher corruption → more aid
Rule of law (`v2x_rule`)	1.616	$< .001$	Better rule of law → more aid
Civil liberties (`v2xcl_rol`)	0.382	$< .001$	Stronger civil liberties → more aid
log(GDP per capita)	−0.245	$< .001$	Richer → less aid
log(Population)	0.545	$< .001$	Larger → more aid
N	6,466		
AIC	91,429		
$\hat{\theta}$	0.992		

Note: Negative binomial regression. Outcome is total ODA disbursements (USD millions, rounded). All estimates are log-linear coefficients.

To test whether the null finding on democratic backsliding is due to our measure of democracy, we replicate this analysis using two alternative V-Dem indices. We also incorporate country fixed effects into these models to control for unobserved time-invariant differences between countries. Table 3 reports the Δ estimates across all three model specifications, the full results are in Table 5 in the appendix.

Note that none of the three delta coefficients are statistically significant. The null result is consistent across different measures of democracy and therefore tells us that our findings were not sensitive to the choice of democracy measure. Regardless of the measure, democratic backsliding does not have a non-zero effect on foreign aid flows. While not providing statistically significant results, the consistency strengthens our confidence in the robustness of this finding.

Table III. Robustness: Alternative Democracy Measures (Disbursements)

	(1) Electoral	**(2) Liberal**	**(3) Participatory**
Δ Democracy	−0.310	−0.534	−0.697
	(0.277)	(0.352)	(0.490)
N	6,466	6,462	6,464
AIC	91,429	91,395	91,417

Standard errors in parentheses. None of the delta estimates are statistically significant.

Full results in Appendix. Outcome: total ODA disbursements (USD millions).

We replicate the model above using ODA commitments rather than disbursements. Commitments differ from disbursements in that they represent a more forward-looking type of allocation decision, thus if donors do adjust to democratic changes, commitments may give us a clearer signal than disbursements. Table 4 presents our results for Δ variables, including the alternative democracy indices. The full results are in table 6 in the appendix.

Table IV. Alternative Democracy Indices (Commitments)

Democracy measure	**Delta estimate**	***p*-value**
Electoral democracy (`delta_polyarchy`)	−0.285	.276
Liberal democracy (`delta_libdem`)	−0.416	.207
Participatory democracy (`delta_partipdem`)	−0.348	.448

Note: Each row reports the delta coefficient from a separate negative binomial model with commitments as the outcome.

All six estimates are negative in sign, meaning that backsliding is consistently associated with lower aid in the hypothesized direction, though none of these effects can be statistically distinguished from zero. This pattern is not simply a null finding, but rather could be evidence that there is a real but delayed donor response beyond a one year timeline rather than an absence of democratic conditionality.

We replicated all of the above models using a five-year democracy change score. A donor response to sustained democratic decline rather than an annual fluctuation might not be captured unless we extend our backsliding measure. Our new backsliding measure captures the cumulative five year change in democracy ratings. Table 7 in the appendix presents these results, highlighting the consistency of the null findings. Across all specifications, democratic decline is associated with lower aid in the hypothesized direction, but the effect is not statistically significant.

Aid flows are a product of multi-year agreements, bilateral negotiations, and longstanding relationships between donors and recipients. These arrangements cannot be easily changed within a one- or even five-year window, at least not enough for us to observe. These changes become more visible once we look at a longer time horizon, which was the initial motivation for including a five-year backsliding window. Thus, our null results are not out of the ordinary, we simply need to test across longer periods to determine if our hypothesized relationship could be both observed and statistically significant.

These findings have broader implications on the aid conditionality and democratization literatures. If donors do not systematically reduce foreign aid in response to democratic backsliding, even when that backsliding is sustained over a five-year period, conditioning may not operate in a way that deters backsliding. Countries could pursue gradual autocratization and may thus be able to do so without facing consequences in terms of foreign aid receipts. To strengthen conditionality as a mechanism that promotes democratization may require more institutionalized monitoring of democratic trajectories and more transparent triggers for aid adjustment than we see currently. Or future research could show that donors deter autocratization over a longer time period than accounted for here.

VI. CONCLUSION

This paper set out to investigate whether changes in democracy produces measurable differences in foreign aid receipts. Across all specifications, we do not find evidence that changes in democracy levels result in changes in foreign aid flows. However, this could simply be a function of the timeframes and frameworks examined in this paper rather than a reflection of genuine donor tolerance for democratic erosion. As democratic backsliding becomes the dominant mode of autocratization globally, understanding when and under what conditions aid conditionality functions in is not merely a methodological puzzle, but rather a question with real stakes for the future of democracy promotion.

VII. AI DISCLOSURE

We used Claude AI for assistance with computational tasks. This includes writing portions of and debugging statistical code, interpreting and fixing error messages, producing tables, and generating LaTeX formatting. All mistakes are our own.

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IX. APPENDIX

Table V. Negative Binomial Regression: Robustness to Alternative Democracy Measures (Disbursements)

	(1) Electoral	(2) Liberal	(3) Participatory
Δ Democracy (key predictor)	−0.310	−0.534	−0.697
	(0.277)	(0.352)	(0.490)
Democracy level	-0.435^{***}		
	(0.102)		
Corruption	1.142^{***}	1.008^{***}	1.007^{***}
	(0.129)	(0.126)	(0.125)
Rule of law	1.616^{***}	1.421^{***}	1.419^{***}
	(0.175)	(0.170)	(0.170)
Civil liberties	0.382^{***}	0.181^{+}	0.180^{+}
	(0.116)	(0.103)	(0.103)
log(GDP per capita)	-0.245^{***}	-0.251^{***}	-0.250^{***}
	(0.012)	(0.012)	(0.012)
log(Population)	0.545^{***}	0.539^{***}	0.539^{***}
	(0.008)	(0.008)	(0.008)
N	6,466	6,462	6,464
AIC	91,429	91,395	91,417
$\hat{\theta}$	0.992	0.989	0.989

Standard errors in parentheses. $^{+}p < 0.1$, $^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$

Outcome: total ODA disbursements (USD millions). Model (1) includes democracy level as a control; models (2) and (3) use alternative delta measures without a level control.

Table VI. Negative Binomial Regression: ODA Commitments (1966–2024)

Predictor	**Estimate**	***p*-value**	**Interpretation**
Δ Electoral Democracy (`delta_polyarchy`)	−0.285	.276	Not significant
Democracy level (`v2x_polyarchy`)	−0.260	.007	More democratic → fewer commitments
Corruption (`v2x_corr`)	1.260	$< .001$	Higher corruption → more commitments
Rule of law (`v2x_rule`)	1.623	$< .001$	Better rule of law → more commitments
Civil liberties (`v2xcl_rol`)	0.622	$< .001$	Stronger civil liberties → more commitments
log(GDP per capita)	−0.267	$< .001$	Richer → fewer commitments
log(Population)	0.560	$< .001$	Larger → more commitments
N	6,039		
AIC	87,640		
$\hat{\theta}$	1.174		

Note: Negative binomial regression. Outcome is total ODA commitments (USD millions, rounded). All estimates are log-linear coefficients.

Table VII. Fixed Effects Negative Binomial: Five-Year Backsliding Window (Δ_5 polyarchy)

	(1) Disbursements	**(2) Commitments**
Δ_5 Electoral Democracy	-0.046	-0.026
	(0.197)	(0.154)
Corruption	0.568	0.675
	(0.515)	(0.509)
Rule of law	1.054^{+}	1.209^{+}
	(0.631)	(0.623)
Civil liberties	0.162	-0.038
	(0.408)	(0.370)
log(GDP per capita)	-0.301^{**}	-0.164^{+}
	(0.095)	(0.090)
log(Population)	0.809^{***}	0.894^{***}
	(0.112)	(0.116)
Country FE	✓	✓
N	6,420	6,004
AIC	86,958.6	83,394.2
Within R^2	0.038	0.045

Standard errors clustered by country. $^{+}p < 0.1$, $^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$

Outcome: total ODA (USD millions, rounded). Δ_5 polyarchy = five-year change in electoral democracy index.

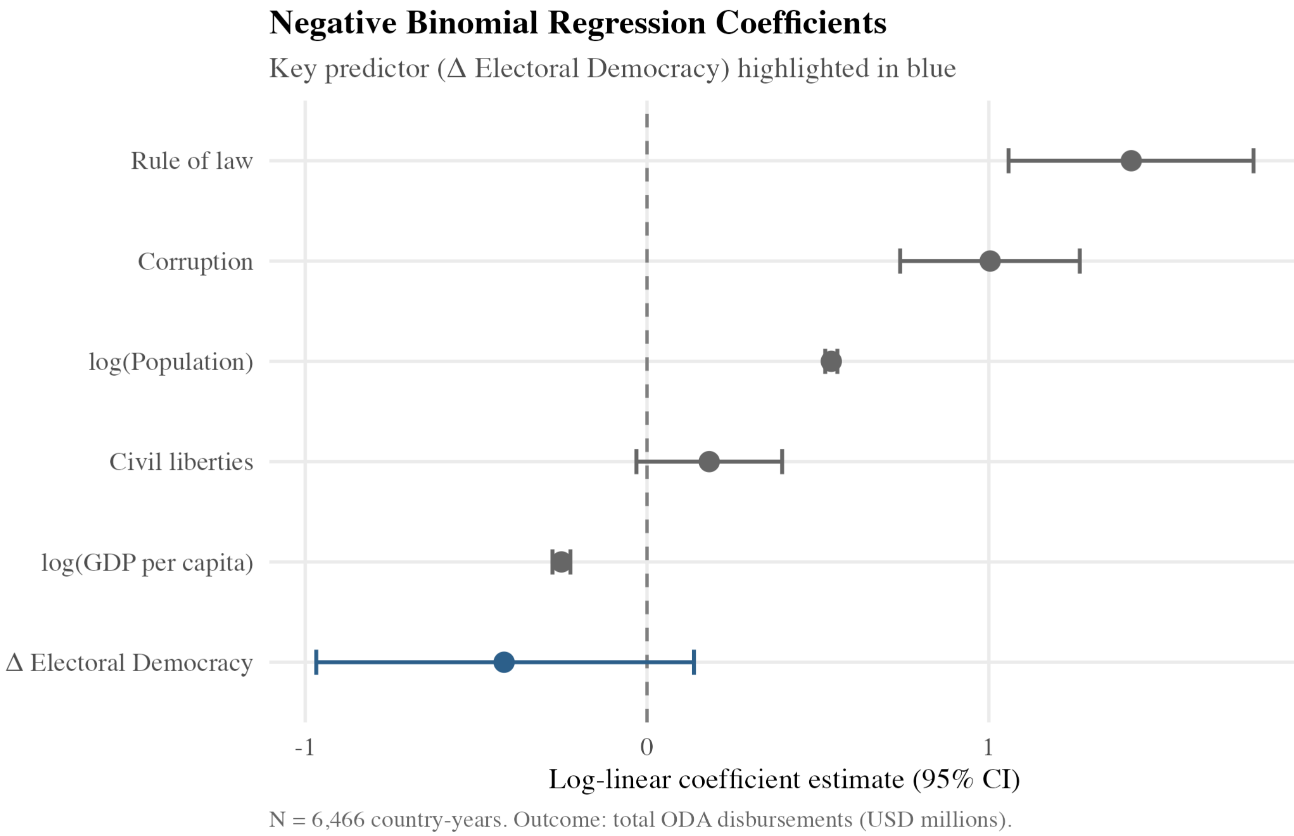

Figure 2. Negative binomial regression coefficients with 95% confidence intervals. Key predictor (Δ Electoral Democracy) highlighted in blue. Outcome: total ODA disbursements (USD millions).

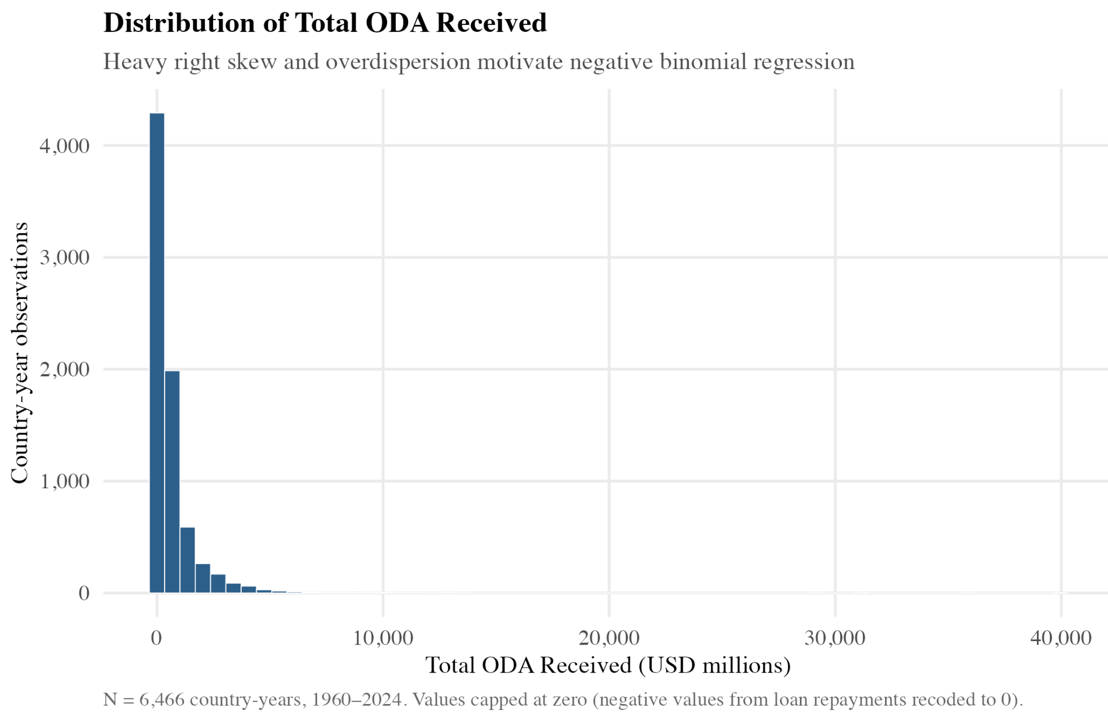

Figure 3. Distribution of Total ODA Received (USD millions). Heavy right skew and overdispersion motivate the use of negative binomial regression over a standard Poisson model.

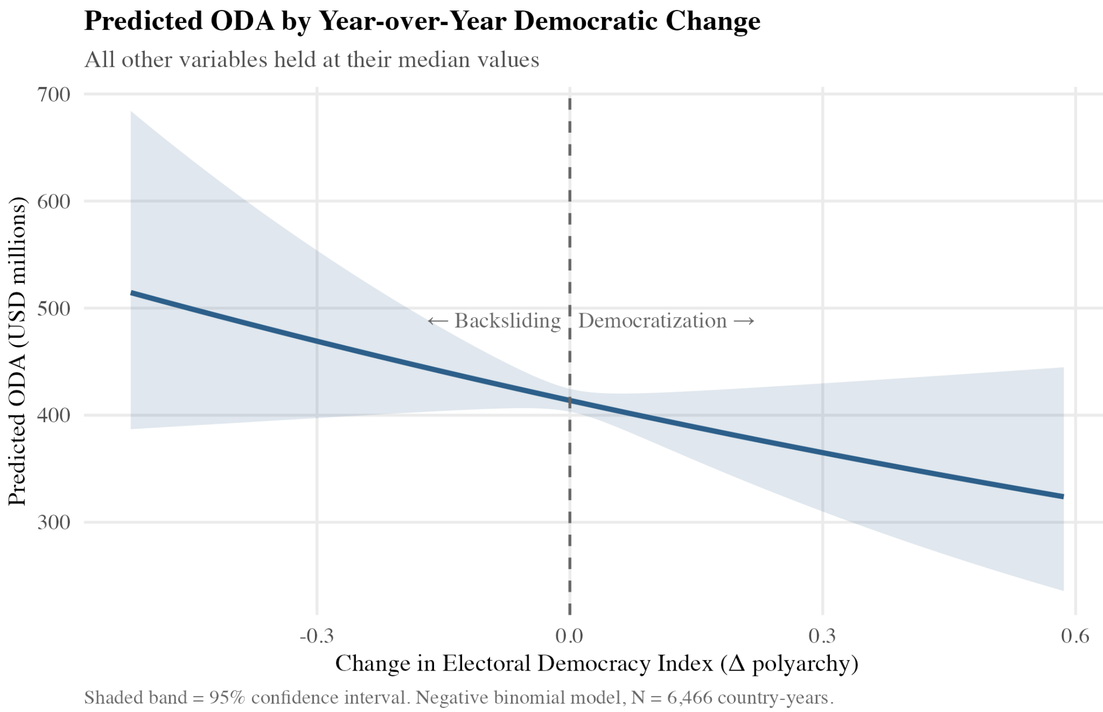

Figure 4. Predicted ODA by Year-over-Year Democratic Change. Shaded band represents 95% confidence interval. All other variables held at their median values. $N = 6{,}466$ country-years.